

FOCUS ON SPENDING PRIORITIES

The retired couple living on \$50 a day makes very few sacrifices. They may live in a smaller house and drive a station car rather than a Mercedes. But they go where they want and spend what they want. With just a bit of creativity they enjoy the comforts that most highly paid executives feel they have to work for.

But when you retire on a bare-bones program you've got to scrimp a bit. Not much. You still live well, especially if you move to the Third World. You have money to lunch at the club, play golf three times a week, and take cooking class. But you have less financial security. You have to keep your eyes open for ways to earn a few bucks. At times, you may long for your former life.

But remember why you retired. Was it because you preferred a simpler life? Because you burned out working in an intense job? Because you were going out of your mind with hurry and stress? Because you wanted to do something different with your life? Whatever your reason for retiring on \$743 a month, you need to have it set clearly in your mind. On bad days after you retire you'll wish you had enough money to live like you used to. But that's when you need to remember the energy you expended on the job every day, how exhausted you were, how quickly you got mad, and how busy you felt. You also need to remember what you wanted out of retirement. That will help you:

Focus on spending priorities

When you spend only \$743 a month, you don't scrimp on everything you do. Rather, you focus on those few things that can make a difference in your life. When major expenses come up, if you know your spending priorities, you can afford them. It's easier to buy a car, for example, if you know that all you need is a station car. It's easier to choose a hotel if you know you can live without an elevator.